Money + Management Matters a Lot!

"*It's not whether you're right or wrong that's important, it's how much money you make when you're right and how much you lose when you're wrong*" - **George Soros**

The above quote alone explains the importance of money management in trading. It is the one make-or-break skill that has a direct impact on a trading account. Even a fantastic technical system, but with poor money management, can cause all kinds of unforced mistakes resulting in account blow-up.

Day traders enjoy the luxury of leverage (in most countries), and it is a double-edged sword. One small mistake, and it can make a deep wound on your trading capital. Even if a day trader has a 90% winning rate (which is close to impossible), bad money management on the 10% can wipe out his entire trading capital. In contrast, a trader with even a 40% winning rate can make money with solid money management skills.

The 2% per Trade Rule